

India's first digital public infrastructure. It was the country's first fintech and remains the largest. More importantly, it was the mother of the IT revolution in India. It brought about the transparency that was missing from traditional exchange floors that could only accommodate a few hundred people at a time.

With screen-based trading, millions could view the market, and later, access it via mobile phones. The marginal cost of servicing an investor has dropped to nearly zero. Earlier, to expand access, you had to go to places like Ladakh and set up a branch. That was true for banks as well. But when mobile and Aadhaar-based infrastructure matured, and during Covid, Sebi allowed video KYC, brokers could reach rural and remote investors much faster.

SZ: Has the ease of access also increased risk-taking?

AC: Yes, there are many perspectives, everyone interprets things based on their point of view. It's like the story of blind men describing an elephant. To give you a perspective: in the last three years,

seemed harsh initially but ended up bringing more investors into the market. Just because something becomes easy doesn't mean it's bad.

SZ: Have the recent curbs imposed by Sebi on derivatives achieved what they were supposed to?

AC: Broadly, yes. But everything is a work in progress. Sebi's first measures came into effect around October–November. More measures are being implemented. So far, the number of contracts has fallen by 50–60%, and the premium traded value has gone down 25–30%. That was the intended outcome, to break the speculative momentum in options trading.

That momentum has been broken. People are also becoming more aware. Our stance has always been: if you don't understand the instrument, don't touch it. This is especially true for retail investors.

Derivatives are not where they should be playing. Margins have been increased, lot sizes expanded, and intraday margins are being revised. And one key piece of advice, don't believe in stock tips or stop-loss advice on television or WhatsApp.

SZ: Exchanges like NSE have made it easier for entrepreneurs to access capital. Given the IPO (initial public offering) boom of the past few years, what's your outlook for 2025? Will the IPO gravy train continue?

AC: The markets have been consistently strong over the last two-three years. When markets are good, volumes go up and IPOs follow.

In the last six months, markets have been relatively weaker, so the number of IPOs has dipped. But the momentum hasn't disappeared. We still see a lot of activity in the IPO space. Many companies are planning and filing their draft prospectuses. So, depending on how the market performs over the next few months, we may see a pickup again.

SZ: Is enough being done to educate retail investors about overpriced IPOs?

AC: There are multiple sides to this.

In the past, we had the Controller of Capital Issues, who would not only approve IPOs but also decide what price the company could charge. I remember in 1992–93, when Tata's IPO came out, there were massive queues and millions of applications.

When the stock underperformed, people blamed the regulator, saying it didn't know how to price IPOs. That led us to move from a prescription-based to a disclosure-based system, as followed globally.

“In the last three years, retail investors, not promoters, have made ₹30 lakh crore after accounting for derivative losses”

despite some market downturns, retail investors, not promoters, have made ₹30 lakh crore after accounting for derivative losses.

Only 2% of the 110 million investors trade in derivatives once a month. It is a small fraction of the population. Interestingly, 88 per cent of these derivative traders also invest in equities, which suggests they may be making money in equities even if they lose in derivatives.

It is like health insurance, if you don't fall ill in a year, is your insurance a loss? There is a possibility that ease leads to overdoing. Greed can become uncontrollable. That's why Sebi has taken steps to make sure derivatives don't fall into the hands of those who don't fully understand them. People may feel regulators are tough, but that's for the market's long-term good. I have seen tough regulatory decisions that